

alleged encroachment of the fence and disputed the fence's location.

Obj. Nos. 7-9 – **Overruled.**

3. 9:00 AM CASE NUMBER: C23-01240

CASE NAME: FERNANDO RAMOS VS. DONALD CHAIKEN

***HEARING ON MOTION IN RE: FINAL APPROVAL OF CLASS ACTION & PAGA CLAIMS**

FILED BY:

TENTATIVE RULING:

Plaintiffs Fernando Ramos and Kevin Nikaido move for final approval of their class action and PAGA settlements with defendants Davidon Homes, Davidon Corporation, and Donald Chaiken. It will resolve Nikaido v. Apartment Management Consultants LLC (C24-00721), Nikaido v. Apartment Management Consultants LLC (C24-01530) and Ramos v. Davidon Homes (C23-01240).

A. Background and Settlement Terms

The original complaint was filed by Mr. Ramos on May 24, 2023, raising class action claims and PAGA claims on behalf of non-exempt employees, alleging that defendant violated the Labor Code in various ways, including failure to pay minimum and overtime wages, failure to provide meal breaks, failure to provide proper wage statements, failure to reimburse necessary business expenses, and failure to pay all wages due on separation. A class action complaint making similar claims was filed by Mr. Nikaido on May 19, 2024. Nikaido filed a PAGA complaint on June 12, 2024. The operative pleading is the Amended Complaint in this matter, which was filed April 2, 2025, after the settlement had been reached.

The settlement would create a gross settlement fund of \$900,000. The class representative payment to plaintiff would be up to \$5,000 for each plaintiff (\$10,000 total). Attorney's fees would be \$300,000 (one-third of the settlement). Litigation costs would not exceed \$40,000. The settlement administrator's costs would not exceed \$10,000. PAGA penalties would be \$45,000, resulting in a payment of \$33,750 to the LWDA and \$11,250 to plaintiffs. The net amount paid directly to the class members would be about \$495,000. The fund is non-reversionary. Based on the estimated class size of 209, the average net payment for each class member is approximately \$2,368.

The proposed settlement would certify a class of all current and former non-exempt employees employed by Defendants during the class period.

The class members will not be required to file a claim. Class members may object or opt out of the settlement. (Aggrieved employees cannot opt out of the PAGA portion of the settlement.) Funds would be apportioned to class members based on the number of workweeks worked during the class period.

Various prescribed follow-up steps will be taken with respect to mail that is returned as undeliverable. Checks undelivered or uncashed 180 days after mailing will be voided, and would be tendered to the "State of California's Unpaid Wage Fund" (more commonly known as the State

Controller's unclaimed property fund).

Notice was sent to all class members on September 8, 2025. 22 notices were returned as undeliverable. Follow-up found 18 new addresses, which were remailed. Four notices are now considered undeliverable. No class members submitted objections, or requests for exclusions.

The settlement contains release language covering as "Released Class Claims" any and all "claims pled in the operative complaint, or claims that could have been pled based on the factual allegations pled in the operative complaint." Under recent appellate authority, the limitation to those claims with the "same factual predicate" as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 ["A court cannot release claims that are outside the scope of the allegations of the complaint." "Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint' is impermissible." (*Id.*, quoting *Marshall v. Northrop Grumman Corp.* (C.D. Cal.2020) 469 F.Supp.3d 942, 949.)

Informal written discovery was undertaken. The matter settled after arms-length negotiations, which included a session with an experienced mediator.

Counsel attest that they have analyzed the value of the case, and that the result achieved in this litigation is fair, adequate, and reasonable. The moving papers include an estimate of the potential value of the case, broken down by each type of claim.

The potential liability needs to be adjusted for various evidence and risk-based contingencies, including problems of proof. PAGA penalties are difficult to evaluate for a number of reasons: they derive from other violations, they include "stacking" of violations, the law may only allow application of the "initial violation" penalty amount, and the total amount may be reduced in the discretion of the court. (See Labor Code, § 2699(e)(2) [PAGA penalties may be reduced where "based on the facts and circumstances of the particular case, to do otherwise would result in an award that is unjust arbitrary and oppressive, or confiscatory."])

Counsel attest that notice of the proposed settlement was transmitted to the LWDA concurrently with the filing of the motion.

B. Legal Standards

The primary determination to be made is whether the proposed settlement is "fair, reasonable, and adequate," under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including "the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement." (See also *Amaro v. Anaheim Arena Mgmt., LLC, supra*, 69 Cal.App.5th 521.)

Because this matter also proposes to settle PAGA claims, the Court also must consider the criteria that apply under that statute. Recently, the Court of Appeal's decision in *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, provided guidance on this issue. In *Moniz*, the court found that the "fair,

reasonable, and adequate” standard applicable to class actions applies to PAGA settlements. (*Id.*, at 64.) The Court also held that the trial court must assess “the fairness of the settlement’s allocation of civil penalties between the affected aggrieved employees[.]” (*Id.*, at 64-65.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, “[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter.” (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because “[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutary purpose.” (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

C. Attorney fees, costs and representative enhancement

Plaintiff seeks one-third of the total settlement amount as fees, relying on the “common fund” theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: “If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Id.*, at 505.) For this motion, counsel have calculated a lodestar fee of \$282,575, based on 364.50 hours, at hourly rates ranging from \$600 to \$850. This results in an imputed multiplier of 1.06. Without necessarily endorsing each component of the lodestar fee, no adjustment is necessary. The \$300,000 attorney fee is reasonable and is approved.

Plaintiffs request litigation costs of \$30,621.57, less than the maximum of \$40,000 set at time of preliminary approval. The costs are reasonable and are approved.

Plaintiffs request settlement administrator’s costs of \$5,890, less than the maximum of \$10,000 set at preliminary approval. The costs are reasonable and are approved.

The requested representative payment of \$10,000 total for plaintiffs (\$5,000 each) is now reviewed, based on the criteria for evaluation of representative payment requests discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807. Although plaintiffs do not submit declarations attesting to the time spent on the matter and the risks taken in serving as a plaintiff, counsel argues that the ordinarily present factors exist in this case. Given the relatively modest \$5,000 each award, it is approved.

D. Conclusion

The Court finds that the proposed settlement is fair, reasonable, and adequate. The motion is granted.

Counsel are directed to prepare an order reflecting this tentative ruling and the other findings in the previously submitted proposed order, and a judgment for entry by the Court. The judgment must provide for a compliance hearing after the settlement has been completely implemented, with the date selected in consultation with the Department Clerk. Plaintiffs' counsel are to submit a compliance statement one week before the compliance hearing date. 5% of the attorney's fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.

4. 9:00 AM CASE NUMBER: C23-02006
CASE NAME: RYAN REYNOLDS VS. SECURE AUTO TRANSPORT, INC.
***HEARING ON MOTION IN RE: TO BE RELIEVED AS COUNSEL**
FILED BY:

TENTATIVE RULING:

The motion is granted. Counsel is directed to serve the order relieving counsel in compliance with CRC 3.1362(d). Counsel is not formally relieved until the order is served on the client and proof of service is filed with the court.

5. 9:00 AM CASE NUMBER: C23-02820
CASE NAME: ILIANA REYES VS. DOES 1 THROUGH 50, INCLUSIVE
***HEARING ON MOTION IN RE: PRELIMINARY APPROVAL**
FILED BY:

TENTATIVE RULING:

Appearances required to address one issue identified below.

Plaintiff Iliana Reyes moves for preliminary approval of her class action and PAGA settlement with defendants Firstamerica Automotive, Inc., Firstamerica Automotive, LLC, Sonic Automotive Inc., Beverly Hills BMW, and Echo Park Automotive.

A. Background and Settlement Terms

The original complaint was filed by Ms. Reyes on November 6, 2023, raising class action claims on behalf of non-exempt employees, alleging that defendant violated the Labor Code in various ways, including failure to pay minimum and overtime wages, failure to provide meal breaks, failure to provide proper wage statements, failure to reimburse necessary business expenses, and failure to pay all wages due on separation. Plaintiff filed a First Amended Complaint on January 10, 2024 adding PAGA claims. The operative pleading is the First Amended Complaint.

The settlement would create a gross settlement fund of \$1,800,000. The class representative payment to plaintiff would be up to \$10,000. Attorney's fees would be \$600,000 (one-third of the settlement). Litigation costs would not exceed \$25,000. The settlement administrator's costs would not exceed \$30,000. PAGA penalties would be \$200,000, resulting in a payment of \$150,000 to the LWDA and \$50,000 to plaintiffs. The net amount paid directly to the class members would be about \$935,000. The fund is non-reversionary. Based on the estimated class size of 4,571, the average net payment for each class member is approximately \$204.

The proposed settlement would certify a class of all current and former non-exempt